October 4, 2024

The Honorable Christina Henderson
Chairperson, Committee on Health
Council of the District of Columbia
John A. Wilson Building
1350 Pennsylvania Avenue, N.W.
Washington, D.C. 20004

RE: Bill 25-0930 (Consumer Health Information Privacy Protection Act of 2024) - Oppose

Dear Chairperson Henderson:

On behalf of the advertising industry, we provide input below on Bill 25-0930.[1] We offer this letter to express our non-exhaustive list of concerns about this legislation. Our organizations support the enactment of meaningful privacy protections for Washingtonians. However, as presently drafted, Bill 25-0930 would have far-reaching, unintended, and unfavorable consequences for DC consumers and the business community alike.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[2] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the DC Council further on the points we discuss in this letter.

I. The bill's overly broad definition of "consumer health data" would impede Washingtonians from receiving useful and relevant information about products and services they may desire. As defined, the term "consumer health data" would include any information that could possibly be related—however tangentially—to the health of a consumer.[3] The definition could be interpreted to include basic data points, such as the fact that a consumer purchased shampoo at a local grocer, attended a fitness event, or signed up to receive promotional notices about specific clothing or footwear restocks. None of this information is inherently related to consumer health, but the bill's broad definition of "consumer health data" could sweep such information into its ambit. Additionally, this broad definition may cause ambiguity that necessitates clarification. For example, other states with consumer health data laws had to quickly issue guidance to clarify that information about the purchase of toiletry products is not included in the definition of consumer

[1] Bill 25-0930 (2024), located here.
[2] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located here.
[3] Bill 25-0930 at Sec. 2(9).

health data.[4] The bill should be updated to narrow the definition of the term "consumer health data" to ensure that information not directly related to a health diagnosis or condition, or that cannot be used to identify such a diagnosis or condition, can still be processed to benefit DC consumers.[5]

II. The onerous consent requirements imposed by the bill would inundate DC residents with an overwhelming number of consent requests for even the most basic of data collection and processing activities. The bill would require DC residents to provide consent nearly *every time* a regulated entity collects or shares consumer health data and would require a signed written authorization for the sale of consumer health data to *each recipient of such data*.[6] In addition, the bill would require consumers to read through detailed disclosures *every time* they wish to consent to sharing of consumer health data. These requirements would result in significant consent fatigue for DC residents instead of providing meaningful privacy protections for consumers. As a result, the bill may prevent vital health messages from reaching DC's most vulnerable populations with information on how to seek assistance or mitigate health risks, since the necessary data to reach these audiences might not be available due to consent requirements. For example, information necessary to engage in COVID-19 contact tracing and other similar efforts may be severely hampered by the bill's requirements. Bill 25-0930's detrimental—and likely unintentional—consequences would hinder consumers from receiving substantial benefits associated with routine and essential data practices while simultaneously placing overly burdensome requirements on regulated entities that collect and process any information that could even vaguely be related to consumer health.

III. The bill's requirement to disclose a list of third parties with whom consumer health data is shared would not provide meaningful protections for consumers. Controllers change customers, business partners, and vendors frequently, and companies regularly merge with others and change names. Given the breadth of the term "consumer health data," even the most benign data types and exchanges would be swept into this unreasonable requirement. As a result, if a controller engages in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request, the requirement to disclose the names of all third-party recipients of consumer health data would either force the controller to refrain from engaging in commerce with the new business-customer until its consumer disclosures are updated, or risk violating the law.[7] This is an unreasonable restraint, particularly when coupled with the private right of action enforcement mechanism that Bill 25-0930 would adopt. In addition, mandating disclosure of the names of third-party partners could obligate controllers to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors. And the consumer benefit that would accrue from receipt of a list of third-party partners to whom a controller discloses data would be minimal at best. The requirement to disclose third party recipients of data should be removed from the bill.

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[4] *See* Washington State HB-1155 Guidance at question 5, located here.
[5] *See, e.g.* Conn. Gen. Stat. § 42-515(9).
[6] Bill 25-0930. at § 4(a)-(b) and § 8(a)-(b).
[7] *Id.* at § 5(a).

IV. The bill's private right of action is unworkable for consumers and businesses alike. Bill 25-0930's private right of action would create a complex and flawed compliance system without tangible privacy benefits for consumers.[8] Allowing private actions would flood DC's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.[9] Additionally, establishing a private right of action would have a chilling effect on the state's economy and encumber controllers' attempts to innovate by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of the law. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.[10] Beyond the staggering cost to businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage you to remove the private right of action from Bill 25-0930 and make enforcement responsibility the purview of the Attorney General for the District of Columbia alone.

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[8] *Id.* at § 10. *See also* D.C. Code § 28–3905 (k)(1)(A). A consumer may bring an action seeking relief from the use of a trade practice in violation of a law of the District.

[9] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, TCPA Litigation Sprawl at 2, 4, 11-15 (Aug. 2017), located here.

[10] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation at 8 (2013), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. Id.

We and our members support protecting consumer privacy. We believe, however, that Bill 25-0930 takes an overly broad approach to the collection, use, and disclosure of any data that could possibly be related to or indicative of consumer health. In addition, the bill's private right of action would provide a poor redress mechanism for consumers while subjecting honest, well-meaning businesses to potentially enterprise-threatening litigation costs. We therefore respectfully ask you to reconsider the bill. We would also very much welcome the opportunity to engage with you further about an appropriate way to define "consumer health data" so Washingtonians enjoy robust protections without forfeiting the ability to receive benefits from the modern data-driven economy.

Thank you in advance for your consideration of this letter.

Sincerely,

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CC: Chairman Phil Mendelson, Council of the District of Columbia
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